The following table presents the percentage relationship of our Consolidated Statement of Operations line items to our consolidated net revenues for the periods presented:

| | Year ended March 31, | |
|---|---|---|
| | **2019** | 2018 |
| **Net revenue:** | | |
| Products | **27.7 %** | 26.5 % |
| Support, maintenance and subscription services | **53.6** | 54.2 |
| Professional services | **18.7** | 19.3 |
| Total net revenue | **100.0** | 100.0 |
| **Cost of goods sold:** | | |
| Products, inclusive of developed technology amortization | **22.6** | 20.7 |
| Support, maintenance and subscription services | **11.3** | 13.1 |
| Professional services | **13.6** | 15.6 |
| Total net cost of goods sold | **47.5** | 49.4 |
| **Gross profit** | **52.5** | 50.6 |
| **Operating expenses:** | | |
| Product development | **26.9** | 21.9 |
| Sales and marketing | **13.9** | 14.2 |
| General and administrative | **16.4** | 18.9 |
| Depreciation of fixed assets | **1.8** | 2.1 |
| Amortization of intangibles | **1.8** | 1.5 |
| Restructuring, severance and other charges | **0.8** | 1.4 |
| Legal settlements | **0.1** | 0.1 |
| Operating loss | **(9.3)%** | (9.5)% |

*Net revenue.* Total revenue increased $13.5 million, or 10.6%, in fiscal 2019 compared to fiscal 2018. Products revenue increased $5.3 million, or 15.7%, due to growth in third-party hardware sales and in on premise software sales, which grew more than 20% compared to the prior year. Support, maintenance and subscription services revenue increased $6.4 million, or 9.3%, driven by growth in customers using our on premise software products that require the payment of support and maintenance along with continued increases in subscription based revenue, which increased 23.5% in fiscal 2019 compared to fiscal 2018. Subscription based revenue comprised 17.7% of total consolidated revenues in 2019 compared to 15.8% in 2018. Professional services revenue increased $1.8 million, or 7.1%, as a result of growth in our customer base including installations of our traditional on premise and subscription based software solutions and increased responses to customer service requests.

*Gross profit and gross profit margin.* Our total gross profit increased $9.5 million, or 14.7%, in fiscal 2019 and total gross profit margin increased from 50.6% to 52.5%. Products gross profit decreased $0.1 million and gross profit margin decreased 3.3% to 18.4% primarily as a result of increased developed technology amortization.

Support, maintenance and subscription services gross profit increased $7.2 million and gross profit margin increased 310 basis points to 78.9% due to the scalable nature of our infrastructure supporting and hosting customers. Professional services gross profit increased $2.4 million and gross profit margin increased 7.7% to 26.9% due to increased revenue with lower costs from the restructuring of our professional services workforce during the first quarter of 2018 into a more efficient operating structure with limited use of contract labor.

*Operating expenses*

Operating expenses, excluding the charges for legal settlements and restructuring, severance and other charges, increased $10.5 million, or 13.7%, in fiscal 2019 compared with fiscal 2018. As a percent of total revenue, operating expenses have increased 2.3% in fiscal 2019 compared with fiscal 2018.

*Product development.* Product development includes all expenses associated with research and development. Product development increased $9.9 million, or 35.4%, during fiscal 2019 as compared to fiscal 2018 primarily due to the reduction of cost capitalization. The products in our rGuest platform for which we had capitalized costs reached general availability by the beginning of the second

quarter of fiscal 2019. These products join our well established products with the application of agile development practices in a more dynamic development process that involves higher frequency releases of product features and functions. We capitalized $2.0 million of external use software development costs, and $0.3 million of internal use software development costs during fiscal 2019, with the full balance capitalized in Q1 fiscal 2019. We capitalized approximately $8.9 million in total development costs during fiscal 2018. Total product development costs, including operating expenses and capitalized amounts, were $40.1 million during fiscal 2019 compared to $38.4 million in fiscal 2018. The $1.7 million increase is mostly due to continued expansion of our R&D teams and increased compensation expense as a result of bonus earnings.

*Sales and marketing.* Sales and marketing increased $1.6 million, or 8.7%, in fiscal 2019 compared with fiscal 2018. The change is due primarily to an increase of $1.6 million in incentive compensation related to an increase in sales, revenue and profitability during fiscal 2019.

*General and administrative.* General and administrative decreased $0.9 million, or 3.8%, in fiscal 2019 compared to fiscal 2018. The change is due primarily to reduced outside professional costs for legal and accounting services.

*Depreciation of fixed assets.* Depreciation of fixed assets decreased $0.1 million or 5% in fiscal 2019 as compared to fiscal 2018.

*Amortization of intangibles.* Amortization of intangibles increased $0.7 million, or 36.6%, in fiscal 2019 as compared to fiscal 2018 due to our remaining rGuest suite of products being placed into service on June 30, 2018.

*Restructuring, severance and other charges.* Restructuring, severance, and other charges decreased $1.8 million due to non-recurring 2018 restructuring activities while charges for non-restructuring severance increased $1.2 million, resulting in a net decrease of $0.6 million during fiscal 2019. Our restructuring actions are discussed further in Note 4, *Restructuring Charges*.

*Legal settlements.* Legal settlements consist of settlements of employment and other business-related matters.

*Other (Income) Expenses*

| (Dollars in thousands) | Year ended March 31, **2019** | 2018 | (Unfavorable) favorable $ | % |
|---|---|---|---|---|
| **Other (income) expense:** | | | | |
| Interest (income) | **$ (339)** | $ (98) | $ 241 | 245.9% |
| Interest expense | **10** | 10 | — | —% |
| Other expense (income), net | **191** | (391) | (582) | nm |
| Total other (income) expense, net | **$ (138)** | $ (479) | $ (341) | nm |

nm - not meaningful

*Interest income.* Interest income consists of interest earned on short-term investments in certificates of deposit, commercial paper, corporate bonds and corporate-owned life insurance policies.

*Interest expense.* Interest expense consists of costs associated with capital leases.

*Other (income) expense, net.* Other (income) expense, net consists mainly of the impact of foreign currency due to movement of European and Asian currencies against the US dollar.

*Income Taxes*

| (Dollars in thousands) | Year ended March 31, **2019** | 2018 | (Unfavorable) favorable $ | % |
|---|---|---|---|---|
| Income tax expense (benefit) | **$ 221** | $ (3,251) | $ (3,472) | nm |
| Effective tax rate | **(1.7)%** | **28.0%** | | |

nm - not meaningful

For fiscal 2019, the effective tax rate was different than the statutory rate due primarily to the recognition of net operating losses as deferred tax assets, which were offset by increases in the valuation allowance, certain foreign and state taxes and other U.S. permanent book to tax differences.